

Tariff Tango: U.S. Slaps 25% Levy on Brazil, But the Trade Math Doesn't Add Up

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In a move that could ripple through your grocery bill, the United States is proposing a sweeping 25% tariff on Brazilian imports from coffee to aircraft parts accusing the South American giant of unfair trade practices. U.S. Trade Representative Jamieson Greer dropped the announcement late Monday, invoking **Section 301** of the Trade Act of 1974, the same tool used in past trade wars. The 107-page Commerce Department report points to illegal **deforestation** in the Amazon, barriers to U.S. ethanol, and digital trade restrictions. It also takes aim at Brazil's trade deals with Mexico and India, claiming they create incentives to **offshore** American production. "Brazil's trade arrangements with Mexico and India also create incentives to **offshore** US production by creating a financial advantage to exporting to Brazil from these countries, as opposed to exporting from the United States," the document states. But the data tells a different story. Despite Greer's claim of a "giant" trade deficit, the U.S. actually ran a \$420 million **surplus** with Brazil in March exporting \$3.3 billion in goods while importing \$2.9 billion. This tariff would partially replace a controversial 50% levy imposed last year, which included a 40% punishment for Brazil's prosecution of former President Jair Bolsonaro, a Trump ally. The Supreme Court struck down the emergency powers used for those tariffs in February, forcing the administration to find a new legal path. Key exemptions include beef, coffee, rare earths, and energy products. The public gets a rare chance to weigh in: a comment period opens Thursday and runs through July 1, with a live hearing in Washington on July 6. Rachel Ziemba of the Center for a New American Security warns, "They are the first of many new tariffs to replace the **IEEPA** national security tariffs. The period of public comment will allow for potential modest tweaks and exemptions. Ultimately, it will add to some **inflation** pressure compared to the last few months but not compared to a year earlier." The move comes despite a recent visit by Brazilian President Lula to Washington, and as the U.S. designated two Brazilian criminal gangs as terrorist organizations a step that bolsters Senator Flavio Bolsonaro, Lula's rival in October's election. On X, the elder Bolsonaro wrote, "I expressly asked President Trump not to tariff our companies. Tariffs are not the solution." The White House did not respond to requests for comment.

Word Treasure

Section 301 -- A U.S. trade law from 1974 that allows the president to impose tariffs on countries with unfair trade practices.

deforestation -- The clearing of forests, often illegally, which harms the environment--here, in the Amazon rainforest.

offshore -- Moving business or production to other countries, often to save money.

IEEPA -- Short for International Emergency Economic Powers Act, a law giving the president special authority in a national emergency to regulate trade.

surplus -- When a country exports more than it imports, meaning it sells more goods than it

buys from others.

inflation -- A general rise in prices that reduces the value of money, making things more expensive.

Background you need

The U.S. Trade Representative (USTR), the president's chief trade negotiator, is responsible for enforcing trade laws and negotiating deals.

Section 301 of the Trade Act of 1974 has been used in past trade wars, most famously against China, to impose tariffs on goods deemed to be traded unfairly.

Jair Bolsonaro, Brazil's former president and a strong ally of Donald Trump, faced prosecution that the Trump administration linked to a punitive 40% tariff last year.

The Amazon rainforest, where illegal deforestation is a major issue, is a key concern that the U.S. cited, though critics note the tariff might not directly address environmental problems.

Break it down

LEAD: U.S. proposes 25% tariff on Brazilian imports, citing unfair practices and deforestation.

+/- specific: Invokes Section 301 of the Trade Act of 1974, accusing Brazil of barriers and deals that offshore U.S. production.

KEY CLAIM vs. DATA: U.S. official claims 'giant trade deficit', but data shows a \$420 million surplus in March.

LEGAL CONTEXT: Replaces earlier 50% tariff (including 40% punishment for Bolsonaro prosecution) struck down by Supreme Court.

PUBLIC INPUT: Comment period opens Thursday through July 1, with live hearing on July 6.

EXPERT WARNING: Rachel Ziemba (Center for a New American Security) says tariffs will add modest inflation pressure.

POLITICAL REACTION: Bolsonaro asks Trump not to tariff, White House silent; tariff may affect Lula's rival in October election.

OPEN QUESTION: Will public comments lead to changes, or will tensions escalate?

Why it matters

Tariffs like these can raise prices on everyday goods--from coffee to electronics--showing how global trade disputes directly affect consumers' wallets and the economy, and how political alliances can shape trade policy.

Test what you remember

1. What law did the U.S. Trade Representative use to propose the tariff?
 - (A) Section 301 of the Trade Act of 1974
 - (B) The IEEPA
 - (C) The Supreme Court ruling
 - (D) A trade deal with Mexico
2. According to the article, what was the U.S. trade balance with Brazil in March?
 - (A) A \$420 million deficit
 - (B) A \$420 million surplus
 - (C) A \$3.3 billion deficit
 - (D) A \$2.9 billion surplus
3. Which of the following products is exempt from the proposed tariffs?
 - (A) Coffee
 - (B) Aircraft parts
 - (C) Ethanol
 - (D) Digital services
4. What did the Supreme Court do in February that affected the earlier tariffs?
 - (A) Upheld the 50% levy
 - (B) Struck down the emergency powers used for the tariffs
 - (C) Blocked all tariffs on Brazil
 - (D) Ordered a public hearing
5. Who said, 'Tariffs are not the solution'?
 - (A) Jamieson Greer
 - (B) Rachel Ziemba
 - (C) Former President Jair Bolsonaro
 - (D) President Lula
6. What is the deadline for public comments on the proposed tariffs?
 - (A) July 1
 - (B) July 6
 - (C) April 10
 - (D) February 2026

Answer key (try the quiz first!): 1: A 2: B 3: A 4: B 5: C 6: A

Questions to think about

1. **Positive:** U.S. industries and workers who face competition from Brazil may benefit if tariffs reduce imports and boost domestic production.
2. **Negative / Critical:** Brazilian exporters and American consumers suffer: imported goods become more expensive, fueling inflation and potentially hurting low-income households the most.
3. **Neutral / Analytical:** The U.S.'s use of Section 301 follows a pattern of using trade law for geopolitical leverage, but the mismatch between deficit claims and actual surplus shows how such justifications can be misleading.
4. **Forward-looking:** If the tariff becomes permanent, it could strain relations with Brazil, push Lula's government to seek other trade partners like China, and influence Brazil's election--potentially shifting the balance of power in South America.

MY THOUGHTS (at least 20 words):